

REAX pitch deck

PITCH — REAX — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: FLAT — no position into the Aug-14 merger vote or through deal close; re-entry becomes studyable only post-close, and only if three specific conditions are met. Both benches concur (red 7/10, blue 8/10 conviction on the FLAT stance; idea quality cut from 7 to 5 out of 10).

What we believe

Real Brokerage is a genuinely fast-growing market-share gainer — agents up ~26% and transaction sides up ~27% year over year — in a housing market that is shrinking around it. That growth refutes the “the sector is killing this company” story. But the growth is bought with stock: trailing-twelve-month stock compensation is **\$76.45M**, which is roughly equal to the company’s entire trailing operating cash flow of **\$79.5M**. Charged honestly for the shares it hands out, the business currently earns approximately nothing per existing shareholder. It is a breakeven variable-cost machine, not a cheap compounder.

The pending merger with RE/MAX (each RMAX share converts into 5.15 REAX shares, with a 15% cash-election pool at \$13.80) is effectively certain to close in the market’s eyes, and it brings ~\$490M of secured debt at a coupon we have not been able to confirm, plus roughly **148 million new REAX shares (~68% of the current share count)**. Around 65M of those go to insiders who likely can’t sell immediately; the remaining ~100M can reach the free float as merger-arbitrage and index holders exit. That is a structural wall of selling in the weeks after close.

So we believe: don’t own it now, don’t own it through the vote, and only look again after the close and the planned 10-for-1 reverse split, on strict conditions listed below.

What the market believes

The stock closed at **\$2.14 on Aug 7** (up 7.5% the day after earnings), down 60% from its 52-week high of \$5.41, market cap ~\$469M on 219.2M shares. Six analysts cover it, all bullish — consensus “Strong Buy,” average price target \$4.95, implying 131% upside. On the merger: RMAX trades at \$11.37 against a blended deal value of \$11.44 ($0.85 \times 5.15 \times \2.14 stock leg + $0.15 \times \$13.80$ cash leg), meaning the market assigns **≥95% probability the deal closes**. In short: the market believes the deal is done and the stock is deeply undervalued — the drawdown is a visible, analyst-tracked deal-risk discount, not neglect.

Why we might have edge

Honestly: our edge here is mostly in **not** being long, and in having done the arithmetic the bull case skips.

- The stock-compensation math (\$76.5M SBC vs. \$79.5M operating cash flow — a wash) closes the standard bull escape hatch of “ignore the accounting loss, look at the cash flow.” We have not seen this framing in the published coverage.
- We have mapped the post-close share supply (~100M free-float shares of potential flowback) and the insider-locked remainder before the event, so we know what we’re waiting for while others may buy into it.
- We identified that the “cheap at 5.5x EBITDA” anchor rests on an unaudited, derived number (pro-forma \$157M minus RE/MAX’s \$94M $\approx$ \$63M standalone), which no one should underwrite.

Why it might be priced in

Almost everything else is. The company is covered by six bullish analysts, so the discount is a known deal-risk and dilution discount, not an overlooked situation. The merger close is priced to near-certainty, so there is no payoff for holding through the vote — the “deal breaks and the stock pops” branch is dead weight the market has already discarded. And the growth story (agent count, transaction sides) is the headline every bull already cites; what the price does *not* yet reflect, in our view, is the post-close flowback supply and the unknown debt coupon — which is precisely why we wait rather than buy the “cheapness.”

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Stock flat at \$1.95–1.99 since the print” (our own brief)	Re-pulled the tape (stockanalysis.com/stocks/rmax/)	Closed \$2.14 +7.5% Aug-7; mcap \$469M not \$434M	No — our brief was stale. Red bench also mislabeled the <i>pack</i> price as stale when the pack already carried \$2.14; blue corrected.
“~5.5x trailing EBITDA, cheap compounder”	Recomputed multiple at live price; pulled cash-flow statement	~6.1x on the brief’s own numerator; TTM SBC \$76.45M exceeds the entire ~\$63M EBITDA figure	Refuted. Cheapness is a metric choice, not a margin of safety.
The ~\$63M standalone EBITDA anchor itself	Sought audited source; SEC XBRL and direct fetches returned 403	It is arithmetic between two differently-based management figures; no audited support	Unverified — nothing may rest on it.
“SBC is a fatal melting-cube cost” (red bench)	Read the SEC-filed financials (FY2025 6-K exhibit, sec.gov)	~88% of SBC is agent, revenue-linked (\$12.3M cost-of-sales + \$3.5M marketing vs ~\$2.0M corporate in Q2-25)	Partly — blue reduced “fatal” to “cheapness overstated”; it flexes with revenue but is still real dilution.

Claim	How checked	Found	Confirmed?
RMAX has ~19.5M shares; cash pool covers ~25% (our brief)	Share-count check (stockanalysis.com/stocks/rmax/)	33.79M shares including Class B/RIHI; cash pool covers ~13–17%	No — brief used the wrong denominator.
“~100M new shares ≈ 45% of count” flowback (red bench)	Blue recomputed full issuance	~148M new shares (~68%); ~65M insider-constrained → free-float flowback ≈ ~100M	Red got the right number by the wrong path — the same denominator error it prosecuted in us.
Deal close is priced in	Blended-value math vs RMAX tape	\$11.44 blended vs \$11.37 traded → ≥95% implied close	Yes.
“Down 63% = neglected”	Coverage check	Strong Buy, 6 analysts, PT \$4.95	No — covered and crowded-long.
“Sides +27% refutes sector damage”	Ratio arithmetic	Sides +27% ≈ agents +26% → per-agent productivity flat; growth is recruiting, paid in stock	Yes, with the quality caveat.
Dilution-adjusted cash generation	Cash-flow statement	TTM OCF \$79.5M ≈ TTM SBC \$76.5M → ~zero	Yes (blue’s addition — the strongest single number in this deck).

PROPOSED ENTRY BANDS

No entry. Position through the vote and close: zero. The failed-vote lottery ticket is not worth holding for (≥95% priced to close), and nothing at the vote resolves the two open underwriting questions (debt coupon, flowback). Since the courts say no-entry, the **reopen bands** are:

- **Timing gate:** only after (a) the merger closes and (b) the planned 10-for-1 reverse split — today’s \$2.14 becomes ~\$21.40-equivalent. All post-close levels below are in post-split units.
- **Reopen study trigger:** a flowback-driven decline **below the ~\$21.40-equivalent** (i.e., below today’s price, split-adjusted) during the post-close arb-exit window.
- **Three hard conditions, all required before any buy order exists:** (1) the valuation is re-underwritten charging the full ~\$76M/yr of stock compensation against whatever earnings figure is used — audited numbers, not the derived \$63M; (2) the ~\$490M term debt’s coupon is disclosed and ≤ roughly 9% (red’s own stated reversal threshold); (3) the ~100M-share free-float flowback is either demonstrably absorbed or mapped against daily volume so we know how long the supply lasts.
- **Pre-close watch level (not a buy):** a break below **\$1.55** (the 52-week low) before close would signal vote stress or forced selling and warrants a fresh look — examination only.
- **Sizing:** none proposed. Any future position must be sized at a fresh court after the conditions above are met; no number is invented here.
- **Catalyst dates:** RMAX special meeting **2026-08-14** (five trading days out; date taken from the benches, primary proxy unreachable — see unverified); deal close shortly after a yes vote; Q3 print **2026-10-29** (yfinance-derived, unconfirmed by company PR).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 21.4 (deck-provisional: post-close post-10:1-split units — flowback flush below the split-adjusted current price reopens the r)
- filing watch: 8-K,6-K,425 until 2027-02-04 (deck-provisional: vote outcome, deal-close confirmation, reverse-split effective date, and term-loan coupon disclosure ())
- dated pack REAX|2026-08-14: REAX: RMAX special meeting / merger vote — market prices $\geq 95\%$ yes; we hold zero either way (date confirmed=False)
- dated pack REAX|2026-10-29: REAX: Q3 2026 print (yfinance-derived, no company PR confirmation) — first post-vote standalone data (date confirmed=False)

What remains unverified

- **Audited SBC, share-count, and cash-flow series from SEC XBRL** — the evidence pack's XBRL fields came back empty and direct SEC fetches returned 403 on both benches; all SBC/OCF figures above are from an aggregator that mirrors the filings, cross-checked once against one SEC-filed exhibit.
- **The ~\$63M standalone EBITDA** — derived, never disclosed; do not underwrite on it.
- **The term-loan coupon** on ~\$490M of secured debt — unknown, and a hard gate.
- **Lockup terms on the ~65M insider rollover shares** — proxy unreachable (403); this determines whether flowback is ~100M or worse.
- **The 2026-08-14 meeting date and 2026-10-29 print date** — neither confirmed from a primary company document.
- **Whether agent-linked stock comp actually flexes down in a revenue decline** — the filed composition suggests it should; it has not been observed through a downturn.
- **Live executable quote** — IBKR access was denied this session; the \$2.14 is a web close, not our own tape.

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